

Broadly speaking, a better arrangement than the one presented in our example would involve an asset that is not fixed in the United States. Imagine that the business is Internet-based, instead of pawnshop-based, for example. It could then be bought by a foreign entity and moved outside the United States, possibly giving much more in the way of benefits to the owners.

Or imagine the family asset is a portfolio of investments. Those could easily be moved outside the United States. Trouble is, the “outside” family member could not sensibly buy them. We haven’t dealt with this issue. But even in this case, there is a variety of legal ways to transfer wealth from the U.S. structure to the non-U.S. structure. Gifts, fees, salaries—the range of possibilities is wide. Between spouses, for example, the tax law allows for a tax-free gift of \$100,000 per year—from the U.S.-based spouse to the non-U.S.-based spouse.

But first you have to understand how the expatriation system works. Keep in mind that we’re not recommending it. It’s clearly not for everyone. Estate-planning lawyers refer to it as the “nuclear option” because it can be very troublesome. But we also believe that it can be very effective.

Also, it fits with two other “motifs” that we think are important to consider.

It puts the family in the position of an “outsider.” Politics, power, and bureaucracy are the enemies of real wealth. It’s easy to be drawn toward them because it is natural to want to use money to buy political muscle for the purpose of protecting wealth. But it is a trap. Better to keep a distance. This inside/outside strategy helps keep the family at arms’ length from any political system.

It leaves the family free to select the places, laws, currencies, and tax systems that best suit it. Instead of being held hostage by a single political unit, the family can choose the most appropriate institutions for its own needs.

The developed world, generally, and the United States, in particular, do not seem to be the best bets for family wealth over the next few decades. Their costs are high. Their political and economic systems seem decadent, even degenerate.